HOULIHAN LOKEY

CONFIDENTIAL INFORMATION MEMORANDUM

PROJECT PEGASUS

Stride & Co.

Consumer — Premium DTC Activewear

September 2021 | STRICTLY PRIVATE & CONFIDENTIAL

Executive Summary

Stride & Co. — Consumer

Stride & Co. ("Stride" or the "Company") is a purpose-driven premium activewear brand offering performance apparel made from sustainably-sourced and recycled materials. Founded in 2016 by former Lululemon design executives, the Company has built a loyal community of health-conscious consumers through a digital-first brand strategy and an in-app membership program — Stride Studio™ — that combines workout content, style guidance, and early product access. Stride has grown from $8M in FY2017 to $78M LTM with no outside capital beyond its 2019 Series B.

$78M
LTM Revenue

$6.5M
LTM Adj. EBITDA

+32%
YoY Revenue Growth

82
NPS Score

~415K
Active Customers

115%
NRR (Studio Members)

Key Financial Metrics

LTM Q2'21 Revenue	**$78M**
Adj. EBITDA	**$6.5M (8.3%)**
Revenue Growth (YoY)	**+32%**
Asking EV	**~$130M**
Transaction Multiple	**1.7x LTM Revenue / 20x Adj. EBITDA**

Investment Highlights

Six reasons Stride & Co. represents a compelling platform investment

01 High-velocity DTC brand with best-in-class community engagement

415K active customers (purchased in trailing 12 months); 82 NPS — highest in activewear per Qualtrics 2021 · Stride Studio membership (62K members, $29/mo) drives 115% NRR; members purchase 3.8x more than non-members · Instagram following of 1.8M with 4.2% engagement rate — 3x industry benchmark for apparel brands

02 Differentiated sustainable product platform with pricing power

100% recycled or sustainably-sourced materials across core collection since 2020 · Legging ASP of $128 — premium to Lululemon ($98) and Athleta ($89) core SKUs · 10 product drops per year; avg. sell-through of 94% within 30 days — almost zero end-of-season markdown

03 Capital-light model with attractive unit economics

Asset-light: design and marketing in-house; manufacturing fully outsourced to 3 certified B Corp factories · Blended gross margin 56.2% LTM — expanding from 48.1% in FY2018 as mix shifts to direct DTC · DTC CAC of $38 (organic-heavy strategy); LTV of $680 (avg. 3.5-year relationship, 4.6 orders/yr)

04 Rapidly growing Studio membership creates durable recurring revenue

Stride Studio launched Q1 2020; 62K members growing ~8K/quarter; $21.7M ARR · Members receive exclusive early access, virtual coaching sessions, and personalized styling · Membership churn <12% annually — below benchmarks for consumer subscription products

05 Significant whitespace in international and product adjacencies

International (UK/CA) represents <11% of revenue — addressable premium activewear market ex-US is $28B · Men's line launched Q2 2021 tracking to $7M annualized — expected to reach 20% of revenue by FY2023 · Footwear (performance sneaker) in development; brand equity research shows 78% purchase intent among existing customers

06 Proven leadership team — founders with deep activewear DNA

CEO Amanda Reyes: former VP Design at Lululemon (8 yrs); COO James Okoro: ex-Patagonia SVP Operations · Head of Brand: 12 years at Nike digital; Head of Tech: built Peloton's e-commerce platform · Management team owns 71% of the business on a fully diluted basis — highly aligned with outcome

Company Overview

History, scale, and operating footprint

Stride & Co. ("Stride" or the "Company") is a purpose-driven premium activewear brand offering performance apparel made from sustainably-sourced and recycled materials.

2016
nded by Amanda Reyes & James ro. First collection: 6 SKUs, DTC only. $8M revenue.

2018
Series A ($8M). First retail partnership (SoulCycle studios). Revenue $28M.

2019
Series B ($18M, True Ventures). Men's pilot. Revenue $42M (+50%).

2020
Stride Studio membership launched. UK & Canada DTC. Revenue $59M (+40%).

2021
Men's line full launch. 62K Studio members. LTM revenue $78M.

2021
Houlihan Lokey engaged; company initiating sale process in September 2021.

2022
(Projected) Footwear launch; 1 Studio members target; reven $102M+.

2016	Los Angeles, CA	~210	$148	~62K	US, CA, UK
Founded	HQ	Employees	Avg. Order Value	Studio Members	Countries

Products & Services

Diversified offering with multiple growth vectors

CORE — 58% OF REVENUE
$98–148/unit

Women's Performance Collection

- Signature Stride Tight™ (5 lengths, 14 colorways) — best-selling SKU at $128
- Made from Stride Reclaim™ fabric: 78% recycled polyester, 22% spandex
- 94% sell-through within 30 days; no end-of-season markdowns required

GROWTH — 14% OF REVENUE
$88–138/unit

Men's Performance Collection

- Launched Q2 2021; tracking to $11M annualized in first 6 months
- 5-way stretch training short + compression tight as lead SKUs
- Customer acquisition from existing women's base — low incremental CAC

SUBSCRIPTION — 28% OF REVENUE
$29/month

Stride Studio™ Membership

- 62K active members; $21.7M ARR growing ~55% YoY
- Includes: weekly virtual coaching, styling sessions, early drop access, free exchanges
- 115% NRR — members upsell to annual plan ($249) at 38% rate

EMERGING — 11% OF REVENUE
$58–225/unit

Accessories & Outerwear

- Water bottles, bags, and headwear: high-margin, high-attach at checkout
- Stride Shell jacket launched Q4 2020 — $225, sold out in 72 hours
- Planned: Stride Yoga Mat ($95) and recovery footwear in 2022

Market Opportunity

Large and growing addressable market

Global Activewear Market — **$380B+**

Growing 8.5% CAGR through 2026; athleisure penetration accelerating post-COVID

North America Premium Activewear — **$42B**

$100+ ASP segment; growing 14% annually as casualization of dress continues

DTC Sustainable Activewear — **$8B**

Fastest-growing sub-segment; <3% household penetration for sustainable-first brands

Stride's Served Market (US/CA/UK)

Stride's accessible TAM; estimated 0.8% market share today

Market growth is driven by: consumer health-consciousness, post-COVID athleisure adoption, and DTC brand economics improving with social media maturity.

Business Model & Unit Economics

Revenue mix and key operating metrics

Direct-to-Consumer (stride.com) 78%

~$61M LTM

Owned e-commerce with 56%+ gross margin

Email + SMS CRM with 415K active subscribers

Avg. order value $148; repeat purchase rate 68%

DTC Gross Margin	58.5%
Studio Gross Margin	82.0%

Stride Studio Membership 17%

~$13M LTM

62K subscribers at $29/mo ($21.7M ARR)

High-margin recurring revenue stream

Members spend 3.8x vs. non-members

DTC Gross Margin	58.5%
Studio Gross Margin	82.0%

Wholesale & International

~$9M LTM

SoulCycle studios (US), select yoga studios

UK/Canada DTC launched 2020

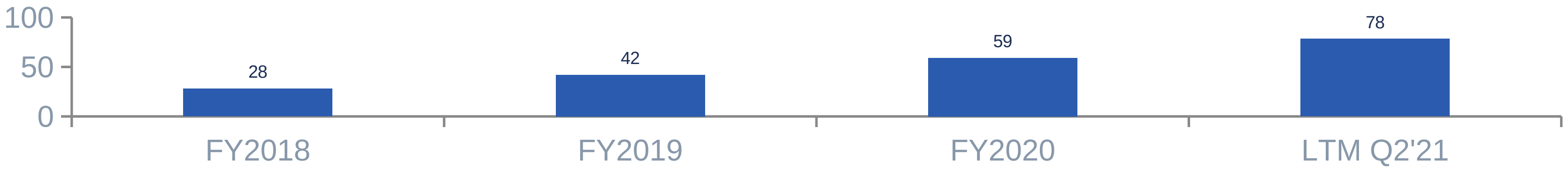
Intentionally limited to protect brand positioning

DTC Gross Margin	58.5%
Studio Gross Margin	82.0%

Historical Financial Performance

$ in millions; FY ends December 31

($M unless noted)	FY2018	FY2019	FY2020	LTM Q2'21
Revenue	28.0	42.1	59.2	78.4
YoY Growth	—	+50.4%	+40.6%	+32.2%
Gross Profit	13.5	21.5	31.8	44.1
Gross Margin %	48.2%	51.1%	53.7%	56.2%
Sales & Marketing	7.8	10.5	13.8	18.5
G&A	3.5	4.8	6.2	7.8
R&D / Design	2.5	3.5	4.2	5.2
Adj. EBITDA	1.5	3.5	5.2	6.5



Adj. EBITDA excludes stock-based compensation and one-time items.

Balance Sheet & Capital Structure

As of most recent period; $ in millions

Capital Structure

Instrument	Maturity	Balance	Leverage
Revolving Credit Facility	2023	$15.0M (undrawn)	—
Series B Preferred	N/A	$26.0M	—
Total Debt / Preferred		**$26.0M**	
(-) Cash		**($8.2M)**	
Net Debt (incl. preferred)		**$17.8M**	**2.7x LTM EBITDA**

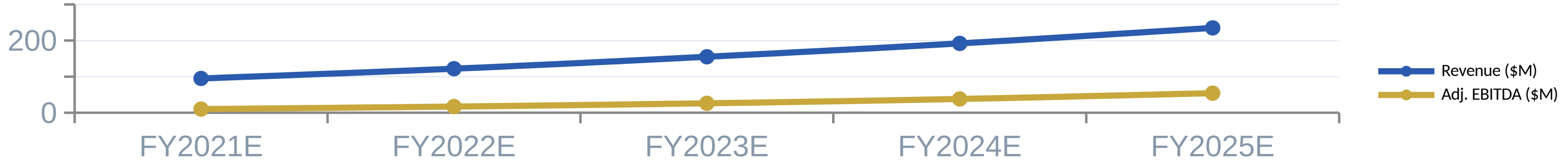
Valuation Context

Metric	Value	Commentary
Enterprise Value (guidance)	~$130M	20x LTM Adj. EBITDA
Revenue Multiple (LTM)	1.7x	Consumer DTC: 1.5–2.5x revenue typical
EBITDA Multiple (LTM)	20x	Premium reflects growth + Studio quality
EBITDA Multiple (FY2022E)	7.6x	Highly attractive on projected basis
EV / ARR (Studio)	6.0x	Modest for SaaS-quality recurring revenue

Financial Projections

Management case; $ in millions — not independently verified by Houlihan Lokey

($M unless noted)	FY2021E	FY2022E	FY2023E	FY2024E	FY2025E
Revenue	95	122	155	192	235
YoY Growth	+21%E	+28%E	+27%E	+24%E	+22%E
Gross Profit	55	73	96	122	153
Gross Margin %	57.9%	59.8%	61.9%	63.5%	65.1%
Adj. EBITDA	10	17	26	38	54
EBITDA Margin %	10.5%	13.9%	16.8%	19.8%	23.0%
Studio ARR	30	48	72	105	148



Management projections. Actual results may differ materially.

Management Team

Experienced leadership with deep sector expertise

A

Amanda Reyes

Chief Executive Officer & Co-Founder

Co-founded Stride in 2016. Previously VP Design at Lululemon (8 years) where she led the iconic Align Pant and Wunder Under franchises. MIT Media Lab (Design Innovation). Named to Forbes 30 Under 30 (2019). Owns 44% of company equity.

J

James Okoro

Chief Operating Officer & Co-Founder

Co-founded Stride; leads supply chain, manufacturing, and fulfilment. Former SVP Operations at Patagonia — oversaw the Worn Wear and sustainability programs. MBA from UCLA Anderson. Owns 27% of company equity.

C

Claire Huang

Chief Financial Officer

Joined Stride as first CFO in 2020. Previously VP Finance at Girlfriend Collective through its growth phase. CPA, 12 years in consumer brand finance. Led the Series B process and current sale mandate.

M

Marcus Bell

Head of Brand & Marketing

12 years at Nike Digital before joining Stride in 2019. Architected the Stride Studio membership concept and community strategy. Grew social following from 180K to 1.8M in 24 months; reduced DTC CAC by 41%.

S

Sophie Tan

Head of Product & Design

Former lead designer at Outdoor Voices and Sweaty Betty. Responsible for Stride's Reclaim fabric line and the women's core collection. Manages 3PL manufacturing partnerships in Vietnam and Portugal (B Corp certified).

K

Kevin Walsh

Head of Technology & Data

Built Peloton's e-commerce and membership platforms 2017–2020. Leads Stride's tech stack: DTC website (Shopify Plus + custom), Studio app (iOS + Android), and customer data platform (Segment + Braze).

Transaction Overview

Houlihan Lokey exclusive sell-side advisory — September 2021

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Process Structure

Structure	Targeted process; select financial sponsors and strategic buyers
Data Room	Virtual (Intralinks); available upon NDA execution
Management	CEO/COO/CFO presentations; Studio product demo available
Exclusivity	Per process letter; IOIs due October 8, 2021
Advisor	Houlihan Lokey (exclusive sell-side)

Houlihan Lokey — Deal Contact

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Supplemental Financial Detail

Quarterly revenue bridge and unit economics detail

Key Operating Metrics

Metric	Value	Trend / Commentary
DTC Gross Margin	**58.5%**	↑ +10pp vs. FY2018; improving with scale and mix
Studio Gross Margin	**82.0%**	High-margin SaaS-like recurring revenue
Blended Gross Margin	**56.2%**	↑ as Studio and DTC mix grows vs. wholesale
CAC (DTC — blended)	**$38**	↓ 41% since FY2019; organic community lowers paid CAC
Customer LTV (3-year)	**$680**	↑ with Studio attach rate improving to 15% of buyers
LTV / CAC	**17.9x**	Exceptional for consumer DTC — benchmark is 3–5x

APPENDIX

Additional materials available in virtual data room upon NDA execution

Detailed financial model · Customer list · Site photos · Reference accounts · Environmental reports